Alphabet Inc.

GOOGL NASDAQ

Buy	$321.88 ▲ 1.60%	12M Price Target	52-Week Range	Market Cap
		$375.00	$266.50 – $408.61	$3.94T

GOOGL: Bouncing After Pullback, Antitrust Overhang Still Lingers

WHAT HAPPENED

- Stock bounced +1.6% to $321.88 after four straight down days (down ~4% from last Tuesday's $334). This looks like a mechanical bounce — tech sector was up +1.64% today, so GOOGL just rode the wave rather than reacting to company news. No filings, no headlines.
- Communication Services ETF is down -5.84% over 5 days while Tech is UP +2.12% — that divergence tells you GOOGL is getting dragged down by its sector classification (it sits in Comm Services), not by anything company-specific. That's actually a setup for mean reversion.

WHY IT MATTERS

Here's what I'm reading into this: GOOGL is sitting at just 39% of its 52-week range despite the broader AI trade being alive and well — that gap exists because of the DOJ antitrust remedy overhang (the Chrome/Search divestiture debate is still unresolved). Options flow is telling though — put/call ratio of 0.64 with unusual call buying at the $310 strike suggests smart money is betting the worst of the selling is done. The fact that institutions hold 81% and nobody's dumping means the "big guys" view current prices as a buying zone, not an exit. If the DOJ settles for behavioral remedies instead of a forced breakup (increasingly the consensus view), this stock has significant room to rerate higher.

POLICY & POLITICAL WATCH

The big one is the DOJ antitrust case — Judge Mehta's remedy phase is the sword hanging over this stock. Current chatter suggests the government will push for data-sharing requirements and default search deal restrictions rather than a Chrome divestiture, which would be a huge relief rally catalyst. Separately, watch the Trump administration's AI executive orders — they've been loosening AI safety requirements, which is a direct tailwind for Gemini and Google Cloud's enterprise AI push (less compliance drag than under the previous admin). Trade-wise, any China tariff escalation hits Google less than hardware peers, but tit-for-tat tech restrictions could squeeze YouTube and Android revenue in Asia.

IS IT EXPENSIVE?

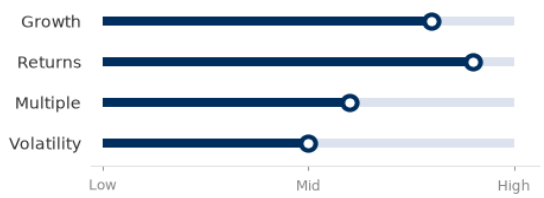
At $322, you're paying roughly 33x next year's earnings — meaning $33 for every $1 of profit the company makes. That's a premium to the S&P (~22x) but a discount to MSFT (~35x) and way cheaper than NVDA (~45x), despite Google Cloud growing 30%+ and Waymo scaling. Translation: you're getting the AI growth story at a "regulatory discount" — if the antitrust cloud lifts, this easily rerates to 38-40x.

WHAT COULD GO WRONG

Key Data

Price (USD)	**$321.88**
12M Price Target	**$375.00**
Upside / (Downside)	**+16.5%**
Market Cap	**$3.94T**
FY2026E Revenue	**$415M**
FY2027E Revenue	**$475M**
FY2026E EPS	**$9.75**
FY2027E EPS	**$11.40**
Fwd P/E	**33.0x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

GOOGL — Alphabet Inc. | October 27, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$345.00**	$330.00	**$305.00**
6 Months	**$380.00**	$355.00	**$290.00**
1 Year	**$420.00**	$375.00	**$275.00**
2 Years	**$500.00**	$420.00	**$260.00**
5 Years	**$700.00**	$550.00	**$300.00**
10 Years	**$1100.00**	$800.00	**$350.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.64% today, +2.12% week) — the AI capex cycle is still driving money into semis, cloud, and infrastructure names. Materials and Industrials catching a bid on reshoring/infrastructure spending momentum.

COOLING OFF: Communication Services (-5.84% over 5 days) — this is where GOOGL and META live, and it's getting hit by rotation out of ad-dependent names on fears that AI-driven search is disrupting the traditional ad model.

ROTATION WATCH: Money is moving from "old internet" (ads) to "new AI" (compute, infrastructure) — ironically GOOGL plays both sides but gets penalized with the ad bucket. That's a mispricing opportunity.

RELATED PLAY: If you believe the AI capex story, the picks-and-shovels names (NVDA, AVGO, data center REITs like EQIX) benefit from GOOGL's own $75B infrastructure spend — they literally sell to Google.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Azure/OpenAI partnership keeps winning enterprise AI deals, and no antitrust overhang weighing on multiple.
- NVDA (Nvidia): Still the direct beneficiary of every hyperscaler's AI capex, including Google's.

GOOGL CONTEXT: GOOGL is lagging its mega-cap peers right now — down from $408 highs while MSFT and NVDA have held up better. That underperformance is almost entirely regulatory risk pricing, not business fundamentals. For investors willing to stomach the DOJ uncertainty, this is where the asymmetric upside lives.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — business is firing on all cylinders, valuation is reasonable, and the regulatory overhang creates the entry opportunity.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade. The business quality justifies size, but antitrust binary risk caps how much I'd put in.

ENTRY POINTS: Add aggressively in the $310-320 zone (we're basically there now). If it dips to $295-305 on DOJ headline fear, back up the truck.

TIME HORIZON: 12-24 months — the catalyst is DOJ remedy clarity (expected mid-2026 to early 2027) plus continued cloud/AI execution.

WHEN TO BAIL: Forced Chrome divestiture ruling, OR two consecutive quarters of Search ad revenue decline, OR cloud growth drops below 25%.

HEDGING: Buy out-of-the-money puts around any DOJ hearing dates — cheap insurance against headline risk. Or pair-trade by shorting META against it to isolate the GOOGL-specific thesis.

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